

Learning Guide Unit 3

Overview**UNIT 3: Externalities, Public Goods, and Government Intervention****Topics**

- Types of externalities and their impact
- Public goods characteristics and provision
- Government interventions in the market

Learning Objectives

By the end of this Unit, you will be able to:

1. Identify different types of externalities and their impacts on both local and global markets.
2. Discuss the characteristics and economic implications of public goods, including their non-rivalrous and non-excludable nature and its influence on their provision.
3. Explain the tools and strategies that governments use to address market failures, such as taxation, regulation, and subsidies, with specific reference to correcting externalities.